

SECTION 11 PROFESSIONAL TUTORIAL PDF

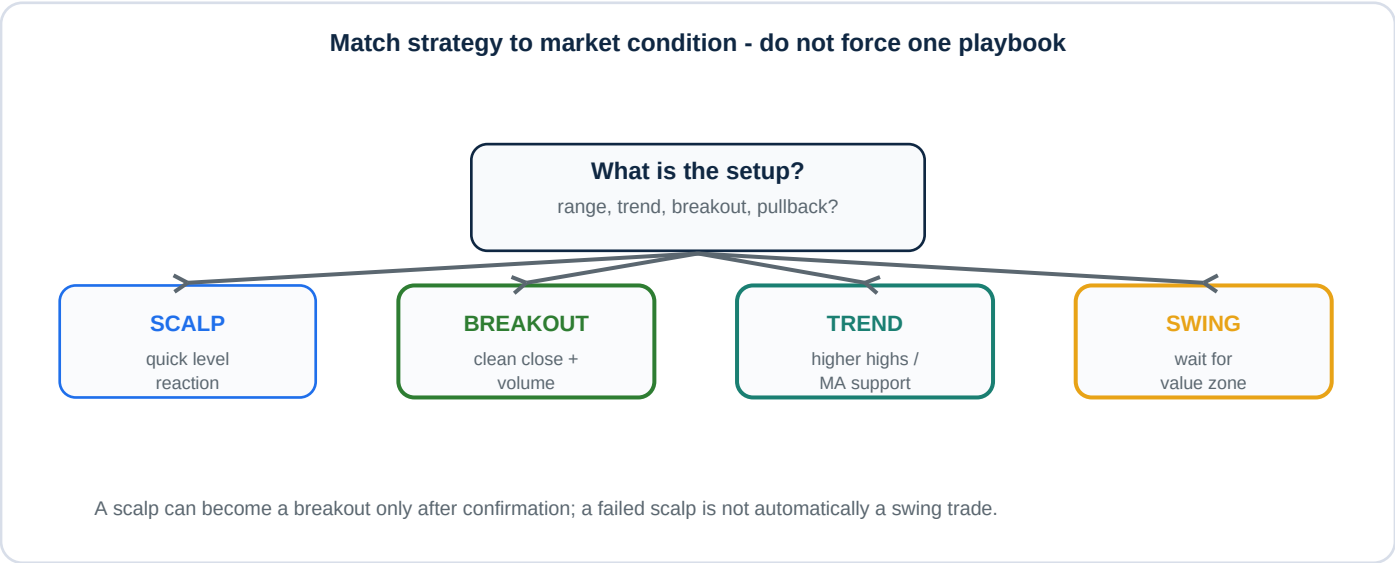
Strategy Selection: Scalp, Breakout, Trend Follow, Swing, and Position

How to match the playbook to the chart condition instead of forcing one strategy into every market.

Student promise

Students will learn to classify the setup first, then choose the strategy. A scalp, breakout, trend-following idea, swing trade, or position idea each requires different evidence and different risk behavior.

Course use	Recommended student level	Deliverable inside
Trade planning, setup classification, and student self-assessment	Intermediate	Framework, checklist, exercises, quiz, instructor notes, external source pack



1. Lesson Overview

Use this page to introduce the topic before opening a chart.

Conversation anchor

May 14 transcript: strategy selection appears around 1:20:50-1:21:35 with scalp, buy-and-hold, momentum breakout, and trend-following questions. The Bitcoin example around 2:07:24-2:10:17 distinguishes scalping near resistance from breakout with momentum, volume, and higher-timeframe confirmation. Swing-vs-scalp distinction appears around 2:10:17-2:15:28.

Core teaching idea

The chart condition chooses the strategy. Students should classify the setup, confirm the correct evidence, and only then define risk. Do not force a scalp, breakout, or swing idea because it is the strategy you prefer.

Learning outcomes

1. Differentiate scalping, breakout, trend following, swing trading, and position trading.
2. Explain why a scalp near resistance can become a breakout only after confirmation.
3. Identify when waiting is the correct strategy choice.
4. Match strategy type to timeframe, confirmation, and student skill level.

Instructor framing

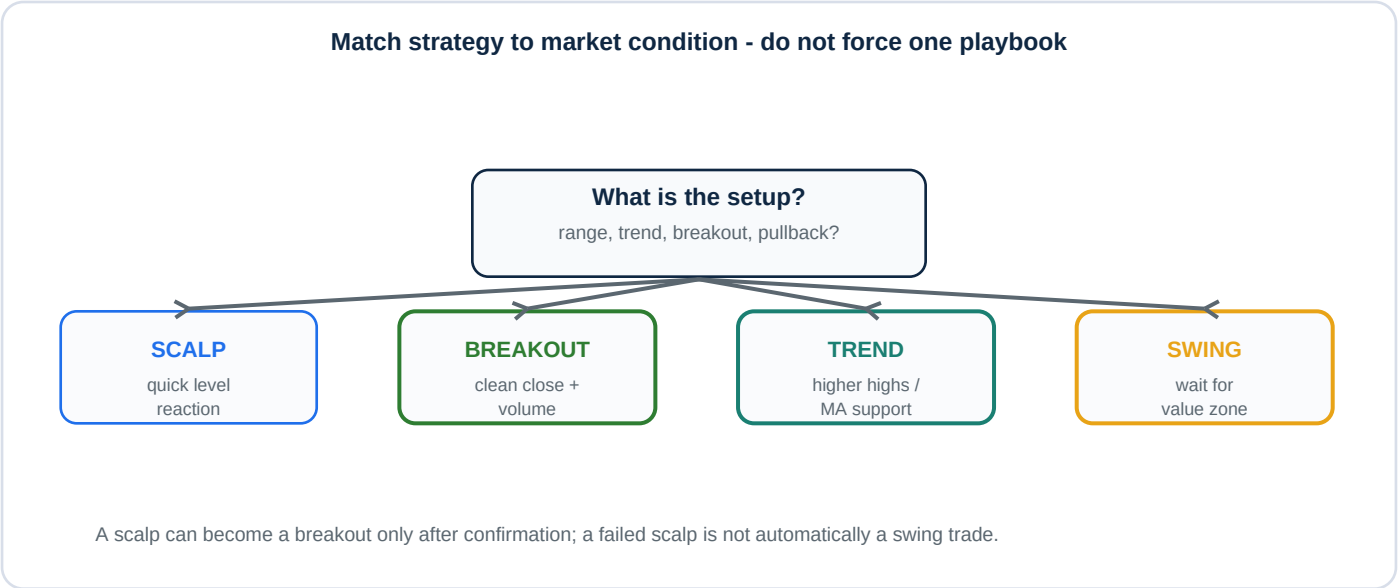
The student is not just analyzing price; the student is choosing a playbook. A strategy mismatch can turn a good observation into a bad trade.

Teaching emphasis

- Scalps require speed, precision, and tight invalidation; they are not beginner-friendly by default.
- Breakouts require clean closes, momentum, volume, and higher-timeframe confirmation.
- Trend following works best when structure and moving averages support continuation.
- Swing and position trades require patience and planned value zones rather than chasing.

2. Concept Map

The diagram gives students the mental model; the table defines the vocabulary.



Vocabulary students must master

Concept	Professional meaning
Scalp	A short-duration trade built around quick reaction, tight risk, and fast decision-making.
Breakout	A move through a key level that needs close, volume, and momentum confirmation.
Trend follow	A continuation strategy that stays aligned with higher highs/lows or supportive moving averages.
Swing trade	A multi-day idea that usually waits for a value area, pullback, or support/resistance zone.
Position trade	A longer-duration thesis where intraday noise matters less than larger structure and thesis quality.

Instructor note

This section should be taught with screenshots. Give the same chart to students and ask: Is this a scalp, breakout, trend follow, swing, position, or skip?

3. Professional Workflow

Turn the topic into a repeatable student routine.
Use this setup-classification routine before position sizing or risk/reward math.

- 1. Identify the market condition: range, trend, compression, breakout attempt, or pullback.
- 2. Ask which strategy naturally fits that condition.
- 3. Check whether the required evidence exists for that strategy.
- 4. Check whether the student skill level fits the strategy speed and complexity.
- 5. Define invalidation and time horizon before entry.
- 6. Grade the setup; then apply risk/reward and position sizing.

Common beginner mistake vs professional correction

Strategy	Beginner mistake	Professional correction
Scalp	Hold it because it went against you	A failed scalp is usually a stop, not a swing.
Breakout	Buy the first wick through resistance	Wait for clean close, volume, momentum, and timeframe confirmation.
Trend follow	Enter after trend is exhausted	Look for structure, pullbacks, and confirmation of continuation.
Swing / position	Chase the current candle	Plan entries near value zones and wait.

Quality control rule

Every trade plan must include strategy label, timeframe, confirmation evidence, invalidation, and student grade. Without the label, the risk plan cannot be judged.

4. Student Practice Lab

Students should produce written evidence, not just verbal confidence.

In-class exercise

- 1. Give students five chart screenshots and ask them to label the best-fit strategy or skip.
- 2. For each screenshot, students must write what evidence is missing.
- 3. Take one scalp setup and write exactly when it would become a breakout instead.
- 4. Take one swing setup and write where the student must wait rather than chase.

Mini-quiz

Question	Expected answer
What is the first step before choosing risk/reward?	Classify and grade the setup.
When can a scalp become a breakout?	Only after breakout confirmation such as clean close, volume, momentum, and higher timeframe support.
Why is a failed scalp not automatically a swing?	The strategy, invalidation, timeframe, and thesis are different.
What does a swing trader usually need?	Patience, planned value zones, and larger timeframe context.

Homework assignment

Students must complete a setup-classification sheet for ten charts: strategy label, reason, missing evidence, invalidation, student grade, and whether the chart is tradable, waitlist, or skip.

5. External Source Pack

Give students authoritative references that complement the lesson.

Source	Type	How students should use it
Fidelity - Day trading	Broker education	Use for intraday strategy framing and short holding periods.
Fidelity - Swing trading setups	Broker education	Use for swing-trading definition and holding-period expectations.
Schwab - 5 elements of a smart trade plan	Broker education	Use to reinforce objectives, routines, risk, and trade planning.
Fidelity - Managing positions	Broker education	Use for entry, exit, discipline, and position-management principles.
Schwab - Trading volume as an indicator	Broker education	Use to support volume confirmation in breakouts and trend moves.

Suggested reading order

1. Start with Fidelity day trading and swing trading to define time horizons.
2. Read Schwab trade-plan material to connect strategy choice with written planning.
3. Use Fidelity managing-positions material for exits and discipline.
4. Use Schwab volume material to support breakout and trend confirmation.

Risk note for students

Strategy switching is dangerous when it happens emotionally. A planned scalp-to-breakout transition is different from holding a losing scalp and calling it a swing trade. Students must define transitions before entry.

6. Instructor Delivery Notes

Use this page to teach the section live or convert it into slides.

Teaching sequence

- 1. Show a chart near resistance and ask whether it is a scalp, breakout, or wait.
- 2. Add volume and higher timeframe close information, then ask if the classification changes.
- 3. Show a pullback into support and ask why a swing trader waits instead of chasing.
- 4. Have students grade the same setup for themselves and for an experienced trader.
- 5. End with the rule: classify first, grade second, risk third.

Assessment rubric

Grade	Student behavior
A	Student labels the strategy, explains required evidence, and knows when to skip or wait.
B	Student chooses the right strategy but needs help defining transition rules.
C	Student recognizes obvious scalps/breakouts but confuses failed trades with new strategies.
D/F	Student changes strategy after the trade moves against them.

Closing reminder

Strategy selection is discipline. The label protects the student from turning every chart into whatever trade they emotionally want.